County of San Diego, Health and Human Services Agency (HHSA)
CalWORKs Program Guide/CalFresh Program Guide Special Notice

Social Security Administration - Cost of Living Adjustment	Number	Page
	CalWORKs 24-05 CalFresh 24-05	1 of 2

Effective Date:
January 1, 2025

Background:
Social Security Administration (SSA) recipients will receive a 2.5 percent Cost-of-Living-Adjustment (COLA) effective December 31, 2024, and payable January 1, 2025. In addition, starting January 2025 the Medicare Part B premium will increase to $185 per month.

Policy:
New Applicants
The actual amount of the SSA benefit, including the COLA increase, must be used for eligibility and budgeting purposes beginning in January 2025. The SSA amount budgeted for January will be considered reasonably anticipated income for applications received in November and December 2024.

Treatment of SSA COLA for Ongoing Semi-Annual Reporting (SAR) Customers
The SSA COLA is considered a mid-period county-initiated action. As a result, a decrease in CalWORKs/CalFresh benefits may occur effective January 1, 2025, with timely and adequate notice.

Income Reporting Threshold (IRT) Requirements
CalWORKs customers are required to report if the increase in SSA benefits combined with earned income, results in exceeding their IRT. If income exceeding the IRT is reported an evaluation is required to determine if the customer is still eligible to benefits. If CalWORKs discontinues due to exceeding the IRT, the CalFresh households (HH) is eligible to Transitional CalFresh (TCF).

CalFresh HH must report if the increase in SSA benefits combined with all other income the HH receives results in exceeding their IRT. If income exceeding the IRT is reported an evaluation is required to determine if the HH is still eligible to benefits.

Treatment of SSA COLA for CalWORKs Annual Reporting/Child Only (AR/CO) Cases
The only cases where this action will not be considered mid-period are those AR/CO cases with a December 2024 redetermination. For those cases, include the updated SSA benefit amount in budgeting for the upcoming AR/CO period.

Timely and Adequate Notice
As with any adverse action, timely and adequate notice is required to decrease benefits. If unable to change the January 2025 CalWORKs grant/CalFresh allotment, take the appropriate action to decrease benefits the first of the following month after timely adequate notice can be provided. Recalculate January 2025 benefits using the increased SSA benefits and Medicare Part B premium amounts; and if the calculation results in a decrease, an overpayment/overissuance will need to be established as appropriate.

Procedure:
The automatic adjustment will **not** occur on cases where there was a discrepancy. Case list reports requiring action will be shared when available.
Cases not included in the COLA run will require staff to manually update the information in CalSAWS to reflect in the January 2025 benefits.

When updating the SSA benefit amount the calculation is to be completed as follows:

Step	Action
1	Use the previous SSA Title II benefit amount.
2	Multiply the amount by 1.025.
3	Round down to the next lower dollar (remove the cents).
4	Final amount will be the new anticipated SSA benefit amount.

Impacts:
Automation
A COLA mass update will run on December 7, 2024, automatically adjusting SSA benefit amounts and Medicare Part B premiums for open SSA and Medicare expense records in CalSAWS. On December 14, 2024, a batch Eligibility Determination Benefit Calculation (EDBC) run will occur and effective January 2025 CalWORKs/CalFresh benefits will reflect the SSA benefit and Medicare premium increases.

Other Programs Affected
The SSA COLA also apply to Refugee Cash Assistance (RCA) and Trafficking and Crime Victims Assistance Program (TCVAP).

References:
All County Information Notice (ACIN) No. I-52-24.

Sunset Date:
This policy will be reviewed for continuance by December 31, 2025.

Approval for Release:

Rick Wanne, Director
Self-Sufficiency Services